per cent, respectively) prescribed by the Karnataka Fiscal Responsibility Act, 2002. Siddaramaiah admitted at a post-Budget conference that his government may not be able to "achieve a revenue surplus" because of the five guarantees. "But", he said, "nowhere have we burdened common people or the poor.... We have not increased the rates of petrol and diesel. The only rate increase was on liquor." The focus, he says, is on revenue mobilisation measures to increase tax compliance and tackle leakage.

On the other hand, capital expenditure estimates for the year, which are lower than the previous fiscal, are a matter of concern. Dr N.R. Bhanumurthy, vice-chancellor of the Dr B.R. Ambedkar School of Economics University in Bengaluru, says that while the CM struck a fine balancing act on the revenue side, lower capital expenditure can run the risk of stymieing overall growth. "If you look at any of the fiscal parameters," he says, "Karnataka is indeed better-placed to implement these [welfare] schemes.... But any decline in the GSDP will have its repercussions." Trimming down the number of existing government schemes—around 1,856 in total—and bringing in sunset clauses to phase them out is key, he feels. "What is important is rationalisation."

That, in fact, is on the agenda of the Siddaramaiah government, which is hoping to free up around Rs 7,000 crore this fiscal by re-prioritising its welfare programmes. As for the inability to take up new projects in the water resources, urban development and public works departments, the CM has laid the blame at the previous Bharatiya Janata Party (BJP) government's door, stating that it left behind a "huge balance cost of works" that would take six years to clear.

Naturally, a war of words ensued after the Budget announcement. Siddaramaiah, who this year presented his 14th state budget—the most in Karnataka since former CM Ramakrishna Hegde—lost no opportunity to criticise the BJP, prompting an angry rebuttal. His predecessor, Basavaraj Bommai of the BJP, dubbed the Budget a "reverse gear" plan that places the financial burden of the five schemes on common citizens. Pointing out that his government had borrowed less despite facing financial woes during the Covid-19 pandemic, Bommai said Siddaramaraiah has cut allocations for key departments.

Meanwhile, the infrastructure spending plan for capital city Bengaluru—about Rs 12,000 crore has been allocated for white-topping of roads, solid waste management, repair of stormwater drains and other schemes—marks only a modest upgrade from Bommai's February Budget, in which the latter had earmarked Rs 9,698 crore for the city. A Rs 15,000-crore proposal for a new 37-km metrorail line, in addition to the routes already approved, is among the fresh announcements made by Siddaramaiah. In his speech, the CM broadly outlined a 'Brand Bengaluru' theme that focuses on nine major challenges the city is facing, from traffic and environment to flood management. Urbanist V. Ravichandar, however, sees this as a 'holding Budget' aimed at completing existing projects rather than pursuing new ones. "It's partly understandable given the overall constraints with the five guarantees," he says, pointing out that there are also immediate challenges with pending civic works given that the monsoon has set in. "A clearer idea will emerge only after another six months. I don't think they have had time to apply their mind to the city's specific needs," he says.

As things stand now, poorer households are the real winners in this Budget. In fact, says Dr D. Rajasekhar, director of the Bengaluru-based Institute for Social and Economic Change, the benefits would likely be higher than a universal basic income for households eligible for all the five schemes.

With four months of this fiscal already over, the real impact of these schemes on the state's finances will be visible only in the next financial year. The state government would require an estimated Rs 52,062 crore for a full 12 months to fund the five guarantees. Siddaramaiah's real test now is to ensure that his 'Karnataka model' is sustainable. ■

HOW SIDDA HOPES TO BALANCE THE BUDGET

TOTAL BUDGET OUTLAY
Rs 3,27,747 crore

OUTGO FOR THE FIVE GUARANTEES
Rs 35,410 crore



TARGET POINTS

The state government is looking at three main areas for resource mobilisation as it tries to keep fiscal deficit at Rs 66,646 crore, which is 2.6 per cent of the GSDP, well within the limit set by the Karnataka Fiscal Responsibility Act, 2002



Increase in tax collection targets
Rs 13,500 crore



Re-prioritising schemes to free up
Rs 7,000 crore



Additional borrowing
Rs 8,000 crore